

TOPIC 7: ACCOUNTING FOR RECEIVABLES

QUESTION 1

- (i) On December 31, 2015, the total sales Bayu Sdn Bhd. (BSB) is RM837,000. An estimated 1% of sales can't be quoted. Using the allowance method, show journal entries to record bad debt expense.

Pada 31 Disember 2015 jumlah jualan Bayu Sdn Bhd. (BSB) ialah RM837,000. Dianggarkan 1% daripada jualan tersebut tidak dapat dikutip. Dengan menggunakan kaedah peruntukan, tunjukkan catatan jurnal untuk merekod belanja hutang lapuk.

(CLO3, C3)

- (ii) During January 2015, a total of RM4,500 from the account receivable written off. Show journal entries to record write-off the debt if the allowance method used.

Sepanjang bulan Januari 2015, sejumlah RM4,500 daripada Akaun Belum Terima telah dihapus kira. Tunjukkan catatan jurnal untuk merekod penghapusan hutang tersebut jika kaedah peruntukan digunakan.

(CLO3, C3)

- (iii) Referring to questions (ii) assume BSB apply direct write-off method for recording uncollectible accounts. Show journal entries to record the write-off.

Merujuk kepada soalan (ii) andaikan BSB menggunakan kaedah hapus kira langsung untuk merekod Akaun Belum Terima yang tidak dapat dikutip. Tunjukkan catatan jurnal untuk merekod hapus kira tersebut.

(CLO3, C3)

QUESTION 2

Hidayah Sdn Bhd (HSB) sells furniture from Italy. The following information relating to accounts receivable for the year ended December 31, 2015.

Hidayah Sdn Bhd (HSB) menjalankan aktiviti menjual dan mengedar perabot dari Itali. Berikut adalah maklumat berkaitan akaun belum terima bagi tahun berakhir 31 Disember 2015.

The balance of accounts receivable at 31 December 2015. <i>Baki akaun belum terima pada 31 Disember 2015</i> (Before written off bad debts) <i>(sebelum dihapuskira hutang lapuk)</i>	RM24,500
Total write-off during the year ended 31 December 2015. <i>Jumlah hapuskira pada tahun berakhir 31 Disember 2015.</i>	RM650

INSTRUCTIONS:

- (i) Show journal entries to record write-off if using direct write-off methods.
Tunjukkan catatan jurnal untuk merekod hapuskira tersebut sekiranya menggunakan kaedah hapuskira langsung. (CLO3, C3)
- (ii) Show journal entries to record the write-off and adjustment entries at the end of the period by using the allowance method, 2% of the balance accounts receivable. The balance allowance for doubtful accounts is RM450.
Tunjukkan catatan jurnal untuk merekod hapuskira dan catatan pelarasan pada akhir tempoh tersebut. Andaikan HSB menggunakan kaedah peruntukan sebanyak 2% daripada baki akaun belum terima dengan baki akaun peruntukan hutang ragu sebelum hapuskira sebanyak RM450. (CLO3, C3)

QUESTION 3

On 31 December 2014, Karimah Sdn. Bhd. (KSB) record the following information in the Statement of Financial Position.

Pada tahun berakhir 31 Disember 2014, Karimah Sdn. Bhd. (KSB) merekod maklumat berikut dalam Penyata Kedudukan Kewangan.

	RM
Accounts receivable balance <i>Baki Akaun Belum Terima</i>	42,600
Allowance for doubtful accounts <i>Peruntukan hutang ragu</i>	852

Transactions that occur ended December 31, 2015 as follows:

Berikut adalah urusaniaga yang berlaku bagi tahun berakhir 31 Disember 2015:

	RM
Sales (40% is cash) <i>Jualan (40% adalah tunai)</i>	255,000
Return on sales (for credit sales) <i>Pulangan jualan (bagi jualan kredit)</i>	4,200
Receipts of accounts receivable <i>Penerimaan bayaran dari Akaun Belum Terima</i>	172,500
Accounts receivables written off <i>Akaun belum terima yang dihapuskira</i>	900

Additional information:

Provision for doubtful debts for the year ended December 31, 2015 is estimated at 2% of the balance accounts receivable.

Peruntukan hutang ragu pada tahun berakhir 31 Disember 2015 dianggap sebanyak 2% dari baki akaun belum terima.

INSTRUCTIONS:

- (i) Show journal entries to record the transactions for the year ended 31 December 2015.
Tunjukkan catatan jurnal bagi merekod urusaniaga yang berlaku bagi tahun berakhir 31 Disember 2015. (CLO3, C3)
- (ii) Calculate the balance of accounts receivable and allowance for doubtful debts account for the year ended 31 December 2015.

Kirakan baki akaun belum terima dan baki akaun peruntukan hutang ragu bagi tahun berakhir 31 Disember 2015. (CLO3, C4)

- (iii) Show journal entries to record the adjustment of accounts receivable at 31 December 2015.

Tunjukkan catatan jurnal untuk merekod pelarasan berkaitan akaun belum terima pada 31 Disember 2015. (CLO3, C3)

QUESTION 4

Pudu Jaya Sdn Bhd (PJSB) sells and distributes furniture. Details of trial balance on July 31, 2007 is as follows:

Pudu Jaya Sdn Bhd (PJSB) menjalankan aktiviti menjual dan mengedar perabot jati. Berikut adalah maklumat berkaitan akaun belum terima yang didapati daripada Imbangan Duga pada 31 Julai 2007.

	RM
Accounts receivable <i>Akaun belum terima</i>	200,000
Allowance for doubtful accounts <i>Akaun peruntukan hutang ragu</i>	3,000

Information transactions on July 31, 2007:

Berikut adalah maklumat urusniaga pada 31 Julai 2007.

- (1) Mr. Halim missing and owed a total of RM500.
Encik Halim menghilangkan diri setelah berhutang sebanyak RM500.
- (2) Mr. Latif pay off a debt of RM1,000 in 2005.
Encik Latif telah membayar semula hutang sebanyak RM1,000 yang telah dihapuskan pada tahun 2005.
- (3) Provision for doubtful debts on July 31, 2007 is estimated at 2% of the balance of accounts receivable.
Peruntukan hutang ragu pada 31 Julai 2007 dianggarkan 2% dari baki akaun belum terima.

INSTRUCTIONS:

Show journal entries to record the adjustment of accounts receivable at 31 July 2015 using the allowance method.

Tunjukkan catatan jurnal untuk merekod pelarasan berkaitan akaun belum terima pada 31 Julai 2015 dengan menggunakan kaedah peruntukan. (CLO3, C3)

QUESTION 5

Kemuning Enterprise (KE) school shoes sold in Selangor. Details of trial balance on September 30, 2008 is as follows:

Kemuning Enterprise (KE) menjalankan perniagaan menjual dan mengedar kasut sekolah di sekitar Selangor. Berikut merupakan petikan Penyata Kedudukan Kewangan pada 30 September 2008.

	RM
Accounts receivable <i>Akaun belum terima</i>	62,700
Allowance for doubtful accounts <i>Akaun peruntukan hutang ragu</i>	1,254

Information transaction ended 30 September 2009.

Berikut adalah urusanniaga yang berlaku dalam tahun berakhir 30 September 2009.

- (1) Total sales worth RM468,900, 30% is cash sales.
Jumlah jualan bernilai RM468,900. (30% adalah jualan tunai)
- (2) Received RM333,160 from the debtor, including the deposit of RM2,400 from Sekolah Kebangsaan Raja Laut for reservations footwear that should be sent on January 4, 2009.
KE mengutip RM333,160 daripada penghutang. Jumlah ini termasuk deposit berjumlah RM2,400 dari Sekolah Kebangsaan Raja Laut bagi tempahan kasut pengawas yang perlu dihantar ke sekolah tersebut pada 4 Januari 2009.
- (3) Shop was burned and destroyed the receivables business inventories. Number of RM1,820 debt remains unpaid and the management of the debt write off.
Bangunan kedai seorang pelanggan yang masih berhutang dengan KE berjumlah RM1,820 telah terbakar dan memusnahkan inventori perniagaan. Baki ini masih belum dibayar dan pihak pengurusan memutuskan untuk menghapuskira hutang tersebut
- (4) A debtor returns the merchandise amounting to RM550.
Seorang penghutang telah memulangkan barangniaga bernilai RM550.
- (5) Provision for doubtful debts ended 30 September 2009 is estimated at 3% of the balance of Accounts Receivable.
Peruntukan hutang ragu bagi tahun berakhir 30 September 2009 dianggarkan 3% dari baki Akaun Belum Terima.

INSTRUCTIONS:

- (i) Show accounts receivable and accounts allowance for doubtful debts based on the above transactions.
Tunjukkan Akaun Belum Terima dan Akaun Peruntukan Hutang Ragu berdasarkan urusanniaga di atas. (CLO3, C2)
- (ii) Show a journal to record the write-off of accounts receivable.
Tunjukkan jurnal untuk merekod hapuskira Akaun Belum Terima pada tahun ini. (CLO3, C3)

QUESTION 6

At the beginning of the year, Perniagaan Umar accounts receivable balances amounting to RM775,000 and net sales amounted to RM6,000,000. Provision for doubtful debts before adjustments have a balance of RM8,050. Credit sales is 17% of net sales. While the collection of receivables of RM650,000 and RM17,500 written off using the method of allocation. At the end of the financial year, the provision for doubtful debts estimated at 2.5% on the balance of accounts receivable.

Pada awal tahun semasa, Perniagaan Umar mempunyai baki akaun belum terima berjumlah RM775,000 dan jualan bersih berjumlah RM6,000,000. Peruntukan hutang ragu sebelum pelarasan mempunyai baki sebanyak RM8,050. Jualan kredit tahun semasa adalah 17% daripada jualan bersih. Manakala kutipan akaun belum terima sebanyak RM650,000 dan akaun belum terima bernilai RM17,500 dihapuskan menggunakan kaedah peruntukan. Pada akhir tahun kewangan, peruntukan hutang ragu dianggap bernilai 2.5% atas baki akaun belum terima.

INSTRUCTIONS:

Show accounts receivable, accounts allowance for doubtful debts and bad debt expense.

Tunjukkan akaun belum terima, akaun peruntukan hutang ragu dan akaun belanja hutang lapuk. (CLO3, C2)

QUESTION 7

On 31 December 1999, Perniagaan Aziz had accounts receivable total RM10,000. Businesses do not create an account provision for doubtful debts on accounts receivable balances. After receiving advice, the business agreed to allocate 5% of estimated uncollectible debt. The information below is relevant to operations for the year ended 31 December:

Pada 31 Disember 1999, Perniagaan Aziz mempunyai jumlah akaun belum terima sebanyak RM10,000. Perniagaan tidak pernah mewujudkan peruntukan hutang ragu atas baki jumlah akaun belum terima. Namun, setelah mendapat nasihat, perniagaan bersetuju untuk memperuntukkan 5% sebagai anggaran jumlah hutang yang tidak boleh dikutip, bermula dengan baki akhir tahun 1999. Maklumat di bawah adalah berkaitan dengan operasi bagi tahun berakhir 31 Disember:

	2000 (RM)	2001 (RM)
Credit sales <i>Jualan kredit</i>	220,000	230,000
Cash received from customers <i>Tunai diterima daripada pelanggan</i>	215,000	236,000
Bad debt write-off <i>Hutang lapuk dihapus kira</i>	4,000	2,100
Cash from debtors that have been written off <i>Tunai diterima daripada hutang yang telah dihapuskan pada tahun 2000.</i>	-	500

INSTRUCTIONS:

Relate an account for bad debt expense and provision for doubtful debts account ended 31 December 2000 and 2001.

Sediakan akaun belanja hutang lapuk dan peruntukan hutang ragu bagi tahun berakhir 31 Disember 2000 dan 2001. (CLO3, C3)

ANSWER

QUESTION 1

(i)

		(RM)	(RM)
Dec 31	Dr. Bad Debts Expense Cr. Allowance for Doubtful Accounts (Record bad debts)	8,370	8,370

(ii)

		(RM)	(RM)
Jan 31	Dr. Allowance for Doubtful Accounts Cr. Accounts Receivable (Record write-offs)	4,500	4,500

(iii)

		(RM)	(RM)
Jan 31	Dr. Bad Debts Expense Cr. Accounts Receivable (Record write-offs)	4,500	4,500

QUESTION 2

(i)

		(RM)	(RM)
Dec 31	Dr. Bad Debts Expense Cr. Accounts Receivable (Record write-offs)	650	650

(ii)

		(RM)	(RM)
Dec 31	Dr. Allowance for Doubtful Accounts Cr. Accounts Receivable (Record write-offs)	650	650
Dec 31	Dr. Bad Debts Expense Cr. Allowance for Doubtful Accounts (Record bad debts)	677	677

Accounts Receivable			
	RM		RM
Bal. b/f	24,500	All. for Doubtful Acc.	650
		Bal. c/f	23,850
	<u>24,500</u>		<u>24,500</u>
$2\% \times 23,850 = 477$			
Allowance for Doubtful Accounts			
Acc.Receivable	650	Bal. b/f	450
Bal. c/f	477	Bad Debts Expense	677
	<u>1,127</u>		<u>1,127</u>

QUESTION 3

(i)

		(RM)	(RM)
Dec 31	Dr. Accounts Receivable Cr. Sales (Record sales on credit)	153,000	153,000
	Dr. Sales Returns and Allowances Cr. Accounts Receivable	4,200	

	(Record returns of defective merchandise)		4,200
Dr. Cash / Bank		172,500	
Cr. Accounts Receivable			172,500
	(Record cash received)		
Dr. Allowance for Doubtful Accounts		900	
Cr. Accounts Receivable			900
	(Record write-offs)		

(ii)

Accounts Receivable			
	RM		RM
Bal. b/f	42,600	Sales Returns and Allowances	4,200
Sales	153,000	Cash	172,500
		All. for Doubtful Acc.	900
		Bal. c/f	18,000
	<u>195,600</u>		<u>195,600</u>
$2\% \times 18,000 = 360$			
Allowance for Doubtful Accounts			
Accounts Receivable	900	Bal. b/f	852
Bal. c/f	360	Bad Debts Expense	408
	<u>1,260</u>		<u>1,260</u>

(iii)

		(RM)	(RM)
Dec 31	Dr. Bad Debts Expense	408	
	Cr. Allowance for Doubtful Accounts		408
	(Record bad debts)		

QUESTION 4

		(RM)	(RM)
Jul. 31	Dr. Allowance for Doubtful Accounts	500	
	Cr. Accounts Receivable		500
	(Record write-offs)		
	Dr. Accounts Receivable	1,000	
	Cr. Bad Debts Recovered		

	(Creating accounts receivable)		1,000
	Dr. Bad Debts Expense	1,490	
	Cr. Allowance for Doubtful Accounts		
	(Record bad debts)		1,490

Accounts Receivable			
	RM		RM
Bal. b/f	200,000	All. for Doubtful Acc.	500
All. for Doubtful Acc.	1,000	Cash	1,000
	<u>201,000</u>	Bal. c/f	199,500
			<u>201,000</u>
$2\% \times 199,500 = 3,990$			
Allowance for Doubtful Accounts			
Accounts Receivable	500	Bal. b/f	3,000
Bal. c/f (Baki h/b)	3,990	Bad Debts Expense	1,490
	<u>4,490</u>		<u>4,490</u>

QUESTION 5

(i)

Accounts Receivable			
	RM		RM
Bal. b/f	62,700	Sales Returns and Allowances	550
Sales	328,230	Cash	330,760
		(333,160 - 2,400)	
		All. for Doubtful Acc.	550
	<u>390,930</u>	Bal. c/f	57,800
			<u>390,930</u>
$3\% \times 57,800 = 1,734$			
Allowance for Doubtful Accounts			
Accounts Receivable	1,820	Bal. b/f	1,254
Bal. c/f (Baki h/b)	1,734	Bad Debts Expense	2,300

	3,554	3,554

(ii)

		(RM)	(RM)
Sept 31	Dr. Allowance for Doubtful Accounts Cr. Accounts Receivable (Record write-offs)	650	650

QUESTION 6

Accounts Receivable			
	RM		RM
Bal. b/f	775,000	Cash	650,000
Sales (17% X 6,000,000)	1,020,000	All. for Doubtful Acc.	17,500
		Bal. c/f	1,127,500
	<u>1,795,00</u>		<u>1,795,000</u>
2.5% x 1,127,500 = 28,187.50			
Allowance for Doubtful Accounts			
Accounts Receivable	17,500	Bal. b/f	8,050
Bal. c/f	28,187.50	Bad Debts Expense	37,637.50
	<u>3,554</u>		<u>3,554</u>

Bad Debts Expense Accounts			
	RM		RM
All. for Doubtful Acc	37,637.50	Statement of Comprehensi ve Income.	37,637.50
	<u>37,637.50</u>		<u>37,637.50</u>

QUESTION 7

Allowance for Doubtful Accounts			
	RM		RM
2000 Accounts Receivable	4,000	2000 Bal. b/f	500
Bal. c/f (Baki h/b)	550	Bad Debts Expense	4,050
	<u>4,550</u>		<u>4,550</u>

	RM		RM
2001 Accounts Receivable	2,100	2001 Bal. b/f	550

550	Accounts Receivable	500
	Bad Debts Expense	1,195
<u>2,245</u>		<u>2,245</u>

Bad Debts Expense Accounts			
2000	RM	2000	RM
All. for Doubtful Acc.	4,050	Statement of Comprehensive Income.	4,050
	<u>4,050</u>		<u>4,050</u>
2001	RM	2001	RM
All. for Doubtful Acc.	1,195	Statement of Comprehensive Income.	1,195
	<u>1,195</u>		<u>1,195</u>